

Let us assume different price Scenarios:

MARKET PRICE ON EXPIRY	NET PROFIT/ LOSS	EXPLANATION
₹500	Call Payoff $= ₹500 - ₹400$ $= ₹100$ Profit from Call $= ₹100 \times 100$ $= ₹10,000$ Net profit = Call profit - Total Premium $= ₹10,000 - ₹4000$ $= ₹6000$	The call option is exercised. Put Option is not exercised here. The call would give a payoff of ₹100, profit of ₹10,000 and net profit will be ₹6000.
₹300	Put Payoff $= ₹400 - ₹300$ $= ₹100$ Profit from Put $= ₹100 \times 100$ $= ₹10,000$ Net profit = Put profit - Total Premium $= ₹10,000 - ₹4000$ $= ₹6000$	The call option is not exercised. However, the put is exercised. The put would give a payoff of ₹100, profit of ₹10,000 and net profit will be ₹6000.
₹420	Call Payoff $= ₹420 - ₹400$ $= ₹20$ Profit from Call $= ₹20 \times 100$ $= ₹2000$ Net Loss = Call profit - Total Premium $= ₹2000 - ₹4000$ $= (₹2000)$	The call option is exercised. However, the put is not exercised. The call would give a payoff of ₹20, profit of ₹2000. So the total loss incurred here is ₹2000 after the payout from call option.

As we can see from the payoff charts as well, the maximum losses are at the strike price of both the options. As we move in either direction, the losses begin to reduce and after the break-even point, we move into profits.